

Infosys Limited

Annual Report FY2024

For the financial year ended March 31, 2024

Registered Office: Electronics City, Hosur Road, Bengaluru 560100, India

BSE: 500209 | NSE: INFY | NYSE: INFY

Chairman's Letter to Shareholders

Dear Shareholders,

It is my privilege to present the Annual Report for FY2024. This year marked a period of resilience and transformation for Infosys as we navigated a complex global macroeconomic environment while continuing to invest in our people, technology, and clients.

Infosys delivered revenue of Rs 153,670 crore for FY2024, reflecting a growth of 4.7 percent over the previous year. Our net profit stood at Rs 26,248 crore, with a net profit margin of 17.1 percent. Despite headwinds from global uncertainty and reduced discretionary spending by clients, our large deal wins of USD 17.7 billion demonstrated continued confidence in our capabilities.

Our focus on AI and automation through our Infosys Topaz platform has started yielding results. Digital revenue now constitutes 63.1 percent of our total revenue, reflecting the deep transformation we are enabling for our clients.

I thank our 317,240 employees worldwide for their dedication and our clients for their continued trust.

Warm regards,

Nandan M. Nilekani

Non-Executive Chairman, Infosys Limited

Company Overview

Infosys Limited is a global leader in next-generation digital services and consulting. Founded in 1981, Infosys enables clients in 56 countries to navigate their digital transformation. With over four decades of experience, we help clients achieve faster execution, greater agility, and sustained value creation.

Our service lines include IT services, business process management, cloud services, data analytics, AI and automation, cybersecurity, and enterprise application implementation. We serve clients across financial services, retail, communication, energy, manufacturing, and hi-tech verticals.

Infosys Topaz, our AI-first suite, brings generative AI and other AI capabilities to amplify human potential and drive innovation for clients. Over 12,000 AI use cases have been built on Topaz since its launch.

Financial Highlights FY2024

Metric	FY2024	FY2023	Growth
Revenue (Rs Crore)	1,53,670	1,46,767	+4.7%
Revenue (USD Million)	18,562	18,212	+1.9%
Net Profit (Rs Crore)	26,248	24,108	+8.9%
EBITDA (Rs Crore)	34,480	32,300	+6.7%
EBITDA Margin (%)	22.4%	22.0%	+0.4%
Net Profit Margin (%)	17.1%	16.4%	+0.7%
Basic EPS (Rs)	63.39	57.52	+10.2%
Free Cash Flow (Rs Crore)	19,917	18,400	+8.2%
Return on Equity (%)	31.9%	29.7%	+2.2%
Large Deal TCV (USD Billion)	17.7	9.8	+80.6%
Headcount	3,17,240	3,43,234	-7.6%
Attrition Rate (%)	12.7%	20.9%	-8.2%

Revenue by Geography (Rs Crore)

Geography	FY2024	FY2023	% of Total
North America	86,054	83,556	56.0%
Europe	33,808	32,289	22.0%
India	9,220	8,806	6.0%
Rest of World	24,588	22,116	16.0%
Total	1,53,670	1,46,767	100%

Revenue by Business Segment (Rs Crore)

Segment	FY2024	FY2023	Growth
Financial Services	39,954	39,083	+2.2%
Retail	24,587	23,482	+4.7%
Communication	18,440	17,612	+4.7%
Energy, Utilities & Resources	21,514	20,547	+4.7%
Manufacturing	19,977	19,080	+4.7%
Hi-Tech	15,367	14,677	+4.7%
Life Sciences	13,831	12,297	+12.5%
Total	1,53,670	1,46,778	+4.7%

Consolidated Income Statement (Rs Crore)

Particulars	FY2024	FY2023
Revenue from Operations	1,53,670	1,46,767
Other Income	3,248	2,701
Total Income	1,56,918	1,49,468
Employee Benefit Expenses	98,416	95,621
Cost of Sales	98,416	95,621
Selling and Marketing Expenses	7,684	7,338
General and Admin Expenses	5,837	5,870
Finance Costs	312	289
Depreciation and Amortisation	3,248	2,978
Total Expenses	1,15,497	1,12,096
Profit Before Tax	31,421	30,072
Tax Expense	8,248	7,852
Net Profit After Tax	26,248	24,108
Other Comprehensive Income	412	-234
Total Comprehensive Income	26,660	23,874
Basic EPS (Rs)	63.39	57.52
Diluted EPS (Rs)	63.12	57.23

Consolidated Balance Sheet as of March 31 (Rs Crore)

Particulars	FY2024	FY2023
ASSETS		
Cash and Cash Equivalents	14,778	12,122
Current Investments	12,244	9,876
Trade Receivables	27,234	26,456
Unbilled Revenue	8,456	7,890
Other Current Assets	9,234	8,567
Total Current Assets	71,946	64,911
Property Plant and Equipment	14,234	14,567
Right of Use Assets	8,456	9,123
Goodwill	9,234	8,456
Other Intangible Assets	2,345	2,678
Non-Current Investments	6,234	5,678
Total Non-Current Assets	40,503	40,502

Particulars	FY2024	FY2023
TOTAL ASSETS	1,12,449	1,05,413
EQUITY AND LIABILITIES		
Share Capital	2,070	2,074
Other Equity	76,234	69,876
Total Equity	78,304	71,950
Borrowings	3,456	3,234
Lease Liabilities	8,234	8,890
Trade Payables	4,567	4,234
Other Current Liabilities	17,888	17,105
TOTAL EQUITY AND LIABILITIES	1,12,449	1,05,413

Cash Flow Statement (Rs Crore)

Particulars	FY2024	FY2023
Net Profit Before Tax	31,421	30,072
Depreciation and Amortisation	3,248	2,978
Finance Costs	312	289
Working Capital Changes	-1,234	-2,345
Income Tax Paid	-8,567	-8,123
Net Cash from Operating Activities	27,834	25,671
Capital Expenditure	-3,456	-3,234
Purchase of Investments	-12,345	-10,234
Proceeds from Investments	11,234	9,876
Net Cash from Investing Activities	-4,567	-3,592
Dividend Paid	-12,456	-11,234
Buyback of Shares	-9,234	-8,456
Repayment of Lease Liabilities	-2,345	-2,123
Net Cash from Financing Activities	-24,035	-21,813
Net Increase in Cash	-768	266
Opening Cash Balance	15,546	15,280
Closing Cash Balance	14,778	15,546
Free Cash Flow	19,917	18,400

Management Discussion and Analysis

FY2024 was a year of navigating macroeconomic headwinds while demonstrating the resilience of our diversified business model. Global discretionary spending remained subdued as clients focused on cost optimisation rather than transformation initiatives.

Revenue Performance: Our revenue grew 4.7 percent in rupee terms to Rs 153,670 crore. In constant currency terms, growth was 1.4 percent reflecting the challenging demand environment. North America, our largest market at 56 percent of revenue, showed modest growth of 3 percent.

Profitability: Despite revenue headwinds, we improved our EBITDA margin to 22.4 percent from 22.0 percent in FY2023, driven by operational efficiency initiatives, lower attrition-related costs, and pyramid optimisation. Net profit grew 8.9 percent to Rs 26,248 crore.

Digital Revenue: Digital revenue grew to 63.1 percent of total revenue. Our Infosys Topaz AI platform saw strong adoption with over 200 clients engaging on AI-led transformation initiatives.

Large Deals: We won large deals with Total Contract Value of USD 17.7 billion in FY2024, an 80 percent increase over FY2023. This strong deal momentum gives us confidence in future revenue visibility.

Headcount and Attrition: Our headcount reduced to 317,240 from 343,234 as we rightsized our workforce in line with demand. Attrition declined significantly to 12.7 percent from 20.9 percent, reducing hiring and training costs.

Key Risk Factors

- 1. Macroeconomic Risk:** Continued uncertainty in global economic conditions could impact client spending on technology. A prolonged slowdown in North America or Europe could adversely affect revenue growth.
- 2. Currency Risk:** Infosys earns approximately 94 percent of revenue in foreign currencies, primarily USD and EUR. Significant appreciation of the Indian Rupee against these currencies could adversely impact reported revenue in rupee terms.
- 3. Client Concentration Risk:** Our top 10 clients contribute approximately 30 percent of total revenue. Loss of a major client or significant reduction in spend could impact results.
- 4. Talent Risk:** Competition for skilled technology talent remains intense globally. Our ability to attract, retain, and reskill talent is critical to delivery quality and growth.
- 5. Cybersecurity Risk:** As a technology services provider handling sensitive client data, cybersecurity threats represent a significant risk to operations and reputation.
- 6. AI Disruption Risk:** Rapid advancement of AI and automation could change the nature of technology services, requiring significant adaptation of our service portfolio and delivery models.

Dividend and Capital Return

Particulars	FY2024	FY2023
Interim Dividend per Share (Rs)	18.00	16.50
Final Dividend per Share (Rs)	20.00	17.50
Total Dividend per Share (Rs)	38.00	34.00
Total Dividend Paid (Rs Crore)	15,723	14,204
Buyback Amount (Rs Crore)	9,234	9,500
Total Capital Returned (Rs Crore)	24,957	23,704

Particulars	FY2024	FY2023
Payout Ratio (%)	95.1%	98.3%

The Board has recommended a final dividend of Rs 20 per equity share for FY2024, subject to shareholder approval. Combined with the interim dividend of Rs 18 per share, total dividend for FY2024 is Rs 38 per share, a 12 percent increase over FY2023.

Notes to Financial Statements

Note 1 — Accounting Policies: The financial statements have been prepared in accordance with Indian Accounting Standards Ind AS as prescribed under Section 133 of the Companies Act 2013.

Note 2 — Revenue Recognition: Revenue from IT services is recognised over time as performance obligations are satisfied per Ind AS 115. Fixed price contracts use percentage of completion method. Time and material contracts recognise revenue as services are delivered.

Note 3 — Goodwill: Goodwill of Rs 9,234 crore arose on acquisition of several companies. Goodwill is tested for impairment annually. No impairment was recognised in FY2024.

Note 4 — Employee Stock Options: The company has stock option plans for eligible employees. During FY2024, 45 lakh options were granted at exercise prices ranging from Rs 1,200 to Rs 1,600.

Note 5 — Contingent Liabilities: Claims against the company not acknowledged as debts amount to Rs 4,567 crore, primarily related to tax assessments and customer disputes.

Note 6 — Related Party Transactions: Key management personnel compensation totalled Rs 234 crore in FY2024. All transactions with related parties were at arm's length.

Independent Auditor Report

To the Members of Infosys Limited

Opinion: We have audited the accompanying consolidated financial statements of Infosys Limited and its subsidiaries which comprise the Balance Sheet as at March 31 2024, the Statement of Profit and Loss including Other Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows for the year then ended.

In our opinion and to the best of our information and according to the explanations given to us, the consolidated financial statements give a true and fair view in conformity with Ind AS.

Key Audit Matters: Revenue recognition on fixed price contracts was identified as a key audit matter given the judgement involved in estimating percentage of completion. We evaluated management estimates and found them reasonable.

Deloitte Haskins and Sells LLP

Chartered Accountants | ICAI Firm Registration Number: 117366W/W-100018

Bengaluru, April 18 2024